

The world in brief

Catch up quickly on the global stories that matter



Photograph: Reuters

Shares in **SpaceX** are set to open at \$160 when the firm begins openly trading on the NASDAQ index, early quotes suggest. That would be around 20% higher than the price set at the company's initial public offering. Elon Musk's [rocketry and AI firm](#) raised \$75bn in the world's biggest IPO on Thursday, when it sold 555.6m shares at \$135, valuing the company at \$1.8trn.

Donald Trump insisted that details of a draft peace deal released by Iranian state media were inaccurate, having “NOTHING to do with the terms that were agreed to”. The leaked terms reportedly include the unfreezing of billions of dollars' worth of Iranian assets and a relaxation of sanctions in return for [Iran](#) opening the Strait of Hormuz. Earlier Mr Trump claimed a deal was close, and would ensure Iran would never have a nuclear weapon.

The **World Bank** cut its forecast for global **economic growth** in 2026 to 2.5%, down from a previous projection of 2.6%, largely because of the war in Iran. It warned that growth could slow further if disruptions to energy supply continue. Meanwhile the Asian Development Bank said 15 countries had asked it for emergency loans as they struggle with [fuel shortages](#).

In an effort to address a shortage of troops, Volodymyr Zelensky, Ukraine's president, said the army will raise wages and try to recruit more volunteer fighters from abroad. Monthly wages for most soldiers will rise by a third, to around \$700, while frontline troops will receive about \$7,000 a month. Ukraine's defence budget is set to increase as instalments from a €90bn (\$104bn) loan from the EU begin to arrive in June.

European **carmakers** Volkswagen, Renault and Stellantis (whose biggest shareholder, Exor, part-owns *The Economist's* parent company) called on the European Union to impose regulations to address the threat from cheap Chinese electric vehicles. The firms recommended a "Made in EU" target for 70% of cars sold in the bloc to source 70% of their contents, by value, from within the bloc.

Britain's economy shrank by 0.1% in April, its first monthly contraction since August, as the Iran war's impact began to be felt. Output in the services sector fell by 0.2%, outweighing modest growth in manufacturing. The decline follows a strong start to the year: **GDP** was 0.7% higher in the three months to April than in the previous three-month period.

David Hockney, a British artist, died aged 88. The Yorkshireman made his name with vibrant acrylic pieces, including "A Bigger Splash", a painting of a swimming pool beneath a flawless Californian sky, and intimate double portraits such as "Portrait of an Artist". Over a career spanning more than six decades, he also worked in printmaking, photography and the design of theatre sets.

Figure of the day: 1,568 days, the length of the war in Ukraine as of June 11th, exceeding that of the first world war. [Read about the lessons that earlier conflict holds.](#)



Photograph: Getty Images

SpaceX's astronomical lift-off

SpaceX starts trading on the Nasdaq on Friday. The rocketry-and-AI colossus launched the largest-ever initial public offering on Thursday, when it raised \$75bn, valuing the firm at \$1.8trn. That made Elon Musk, its founder, the world's first trillionaire. [Demand from Wall Street](#) may well push that valuation higher. SpaceX's ability to launch rockets at low cost supports its thriving satellite unit, Starlink, which provided about 60% of the company's revenues last year. Mr Musk reckons that it will become far bigger by running constellations of AI data centres in orbit, supporting XAI, his AI lab.

Sceptics counter that orbital data centres, and the giant Starship rockets needed to deliver them, are nascent technologies. XAI is burning through cash and is a vanity project for Mr Musk, who controls the board. Stock markets are jumpy given the war in Iran and rising inflation. Brace for a wild ride.



Photograph: Getty Images

Britain's defence-spending woes

On Thursday Britain's defence secretary, John Healey, [resigned](#). He said that the government's planned increase in defence spending fell "well short" of what the armed forces need. Mr Healey cited the latest draft of the defence investment plan, a long-delayed document setting out spending on weapons and other technologies over the next decade. The prime minister, Sir Keir Starmer, reportedly offered £13.5bn (\$18bn) more for defence over the next four years, well below Mr Healey's demand of £18bn (and less than half of the £28bn said to be needed to fulfil the vision of last year's strategic defence review).

The shortfall is embarrassing for Britain as allies race to rearm in the face of Russian aggression and a bolshy America. It is also a sign of Sir Keir's waning political authority. He faces the prospect of a [leadership challenge](#), possibly as soon as this month. Accusations that he is failing to protect the country give his critics more ammunition.



Photograph: Reuters

Turning out the lights on America's spies

The job of American spies might be about to get harder. American intelligence agencies have long relied on Section 702 of the Foreign Intelligence Surveillance Act to compel companies to hand over data on people of interest located abroad. FISA 702 is now up for renewal. If Congress does not agree to extend it by Friday, the provision will lapse.

Civil libertarians dislike the measure because of its broad powers, the increasing scope of companies covered by it and the ability of the FBI to query the database. Moreover, Congress is furious that Donald Trump has appointed [Bill Pulte](#) (pictured), an unqualified loyalist, to oversee all American intelligence agencies. On Thursday the president instead nominated Jay Clayton, a former chairman of the Securities and Exchange Commission, for the job—but his concession may have come too late. A stop-gap package is possible and even if no agreement is reached, some pre-authorised intelligence collection will continue until next spring. But America's spies could then be in the dark.



Photograph: Getty Images

The legacy of a great composer

This year's edition of Aldeburgh Festival, which begins on Friday, takes place 50 years after the death of its co-founder, [Benjamin Britten](#) (pictured), perhaps the greatest recent British composer. He was a master of opera ("Peter Grimes"), choral music (the "War Requiem") and song ("Serenade for Tenor, Horn and Strings"). The tenor in the first performances of many of Britten's works was Peter Pears, his life partner, another Aldeburgh co-founder. Though recognisably modern, Britten's music largely shuns the atonal language that was fashionable in his day.

The festival, centred at a Victorian maltings in Suffolk, will have plenty of Britten and much else, including semi-staged performances of Claude Debussy's opera, "Pelléas et Mélisande", and a recital of Schubert lieder by [Lise Davidsen](#), a superstar soprano, and James Baillieu, a pianist. Fittingly for an event that commemorates the composer of "The Young Person's Guide to the Orchestra", there's a new academy that will present masterclasses for and performances by young musicians.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: Which American city has the busiest airport in the world, in terms of passenger traffic?

Thursday: What is the capital of the Mexican state of Jalisco?

*The final forming of a person's
character lies in their own hands.*

Anne Frank